

The Problem with Prediction Markets

Anirudh Venkatesan
University of Virginia

JEL Classification: D84, G14, G18, L83

Keywords: prediction markets, event contracts, information aggregation, informed trading, insider trading, market design, financial regulation

Introduction

Prediction markets have moved from the fringes of the internet to the center of American finance in less than two years. Platforms like Polymarket and Kalshi now let anyone buy a contract that pays a dollar if an event happens and nothing if it does not, which makes the contract's price a live estimate of the odds. What looks like a betting site is actually, legally, a derivatives exchange, and that distinction is what opened the door. Traditional financial institutions have rushed in: the parent company of the New York Stock Exchange invested up to \$2 billion in Polymarket, while DraftKings, FanDuel, Robinhood, and CME Group have all launched competing venues. The idea is that betting makes people honest. Talk is cheap, and a poll respondent has nothing on the line, so the odds should be closer to reality than anything a pollster or a pundit can produce. But the accuracy comes from somewhere specific, and it isn't the crowd.

I. Background

The idea of a prediction market is old. Economists Paul Rhode and Koleman Strumpf documented organized election betting on Wall Street between 1868 and 1940, finding that the mid-October favorite won 11 of the 15 presidential elections in their sample, in an era before scientific polling existed at all. The modern version began in 1988, when University of Iowa professors launched what became the Iowa Electronic Markets — a small, university-funded exchange with no commercial ambitions. Fewer than 200 traders called the Bush–Dukakis vote share more accurately than the professional pollsters did.

The 2024 U.S. election gave the concept its mainstream moment. Days after the June presidential debate, Polymarket's odds that Joe Biden would leave the race jumped from roughly 20% to around 70%, weeks before he actually withdrew. More than three billion dollars eventually traded on the presidential winner alone. Since then, the category has exploded: according to a Pew Research Center analysis, combined monthly volume on Kalshi and Polymarket rose from under \$5 billion in September 2025 to about \$24 billion by April 2026.

II. Price Formation

The problem is that the crowd isn't the part doing the forecasting.

When a contract is trading at 20 cents and the real odds are closer to 70, someone has to buy it up. That means purchasing shares at 20, then 25, then 30, clearing out everyone willing to sell cheap until the price reflects the news. Whoever does that is the one making the forecast, and they collect the difference. Everyone who buys once the price is already at 70 is paying full freight for a number someone else figured out.

A 2026 working paper by Gomez Cram and colleagues went through the trading data to see whose buying actually causes those moves. It was about 3% of traders. The other 97% were trading after the price had already adjusted, which adds volume to the platform but nothing to the forecast.

The profits split the same way. A Wall Street Journal analysis from May 2026 found that roughly 0.1% of Polymarket accounts take 67% of the money made on the platform, and more than 70% of users lose. That is what the accuracy actually is: a few hundred sharp traders getting paid by everyone who shows up late.

III. Insider Trading

The reward for being early has an obvious exploit: know the outcome in advance. If markets reward whoever knows the most, the biggest rewards go to people who know things they should not. A Financial Times analysis found that long-shot bets on military action succeed roughly 52% of the time, against 25% for politics bets and 14% overall.

In 2026 alone, a U.S. Army Special Forces sergeant was charged with using classified knowledge of the operation to capture Nicolás Maduro to win more than \$400,000, a Google engineer was charged over \$1.2 million in trades allegedly based on internal search data, and Israeli Air Force personnel were investigated for betting on strike timing. In an ordinary stock market, insider trading is a crime that distorts prices. In a prediction market, the insider is the person making the price “accurate.”

IV. Reform Options

Stripping out the gambling would break the machine. Remove the recreational money and the informed traders have no one to win it from, and no reason to show up.

Some fixes are still worth trying. Position limits protect small traders, though they cost liquidity; PredictIt operated for years under an \$850 cap, and its 2025 settlement with regulators raised that ceiling to \$3,500 precisely because the old limit made serious trading impossible. Platforms have begun pulling their most ethically fraught contracts, as when Polymarket removed a market on nuclear detonation in March 2026, and Democratic lawmakers introduced legislation that same month to restrict betting on war-related events. Clearer disclosure of who wins and who loses would help ordinary users calibrate their expectations, which is exactly what the industry's marketing has so far worked to prevent.

Conclusion

The most honest option is the least commercial one. The Iowa Electronic Markets never needed a losing majority, because the university simply paid to keep a small, accurate market running. Institutions that genuinely want good forecasts, like governments, could fund the liquidity directly rather than waiting for a betting public to subsidize it. That version of the idea would forecast just as well. It would just be much harder to build a twenty-billion-dollar company around.

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